

WILLIAMSON TEA KENYA LIMITED									
UNAUDITED RESULTS FOR THE 6 MONTHS ENDED 30 SEPTEMBER 2012									
CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME							CONSOLIDATED STATEMENT OF FINANCIAL POSITION		
				30.09.2012 Kshs'000	30.09.2011 Kshs'000			30.09.2012 Kshs'000	30.09.2011 Kshs'000
Turnover				1,502,746	1,556,129		Capital and reserves		
Profit from operations before biological assets valuation				125,858	438,382		Share Capital	43,782	43,782
Gain on sale of investment property					144,642		Capital reserves	586,797	239,867
Increase in fair value of biological assets				192,583	286,367		Revenue reserves	4,344,655	4,526,843
Finance income				19,594	98,082		Non-controlling interest	4,975,234	4,810,492
Share of results of associated Companies				59,982	105,888		Total Equity	5,155,210	4,964,878
Profit before taxation				398,017	1,073,361		Non current liabilities		
Tax charge				(119,405)	(267,647)		Deferred Taxation	1,172,176	985,775
				278,612	805,714		Employee benefit obligations	163,649	151,448
Attributable to:							Borrowings & Finance lease		20,129
Equity Holders of the parent				261,406	782,966			1,335,825	1,166,352
Non-controlling interest				17,206	22,748			6,491,035	6,131,230
Profit after tax attributable to members				278,612	805,714				
Comprising:							REPRESENTED BY:		
Profit arising from operating activities				135,915	589,665		Non current assets		
Profit arising from changes in fair value of biological assets				125,491	193,301		Property , Plant and Equipment	1,445,211	944,002
Non-controlling interest				17,206	22,748		Intangible assets	1,883	921
				278,612	805,714		Prepaid Operating Lease Rentals	76,862	76,920
							Investments	825,695	806,595
Issued Shares of Kshs 5 each				8,756,320	8,756,320		Biological Assets	2,625,781	2,261,103
Earnings per share (Kshs)				29.85	89.42			4,975,432	4,089,541
							Current assets		
							Inventories	459,850	494,602
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY							Trade and other receivables	995,725	1,316,580
							Associated companies	67,154	79,596
							Taxation	-	-
							Bank & Cash	800,515	858,017
								2,323,244	2,748,795
							Current liabilities		
							Trade and other payables	762,028	608,493
							Taxation	15,766	46,270
							Associated companies	13,572	26,363
							Borrowings & finance leases	16,275	25,980
								807,641	707,106
								6,491,035	6,131,230
								0	(0)
							CONSOLIDATED STATEMENT OF CASHFLOWS		
								30.09.2012	30.09.2011
								Kshs'000	Kshs'000
COMMENTARY ON THE RESULTS							Operating activities		
Variable weather conditions and some severe hail attacks have reduced the group crop by 6% during the period under review leading to a reduction in turnover. The actual costs of doing business have increased substantially, broken down into large increases in the cost of green leaf purchases, power, fuel, selling and distribution costs, an additional 12% on wage costs and huge increases to our export of taxation liabilities. In addition plant, property and equipment were revalued at March 2012 which significantly increased the depreciation charge for the six months. Prices for tea have been overall satisfactory with no significant fluctuations in the Kenya Shilling although compared to the same time a year ago the Dollar / Shilling price is averaging 7% stronger in favour of the Shilling. The combination of all these factors have severely reduced the Group operating profit by 71% to 30th September 2012.							Cash generated from operations	180,479	246,525
							Interest paid	(1,698)	(4,978)
							Interest received	31,510	18,539
							Taxation Paid	(11,420)	(14,797)
								198,871	245,289
PROSPECTS							Investing activities		
Since September crop intakes have improved. Market expectation is for prices to soften somewhat with increases in supply. The behaviour of the Kenya Shilling in the next six months with general elections to be finalised is unknown. We shall be closely monitoring our cost structures that are within our power and this will include the amounts we are able to pay our green leaf partners.							Purchase of Plant and equipment	(79,285)	(88,837)
							Purchase of intangible assets	(130)	(295)
							Proceeds from disposal of plant and equipment	4,939	6,298
							Expenditure on biological assets	(6,455)	(16,341)
							Dividend from - Associated company	11,608	11,607
								(69,323)	(87,568)
UNCLAIMED DIVIDENDS							Financing Activities		
Pursuant to the provisions of the Unclaimed Financial Assets Act 2011 and effective as from 1 st November 2012 all unclaimed dividends over 3 years old have to be surrendered to the Unclaimed Financial Assets Authority (Government of Kenya) as unclaimed assets. Once surrendered to the Authority, claims for these dividends must be directed to the Authority and not to our Shares Registrar or Company Secretary.							Loans repaid	-	(6,857)
							Asset finance loans repaid	(15,092)	(21,079)
							Dividends paid to shareholders	(65,672)	(109,454)
							Dividend paid to minority interest	(2,786)	(2,610)
								(83,550)	(140,000)
							Increase in cash and cash equivalents	45,998	17,721
							Movement in cash and cash equivalents		
							At 1 April	754,517	840,296
							Increase	45,998	17,721
							At 30 September	800,515	858,017
G K MASAKI							Cash and Bank balances	408,734	337,577
COMPANY SECRETARY							Short term deposits	391,781	520,440
								800,515	858,017